ORDERFLOWS.COM

# Strategic Order Flow Trading



## Module 3
## Advanced Order Flow Concepts

# Disclaimer

This course is for educational and informational purposes only and should not be considered a solicitation to buy or sell a futures contract or make any other type of investment decision. Futures trading contains substantial risk and is not for every investor. An investor could potentially lose all or more than the initial investment. Risk capital is money that can be lost without jeopardizing ones financial security or life style. Only risk capital should be used for trading and only those with sufficient risk capital should consider trading. Past performance is not necessarily indicative of future results.

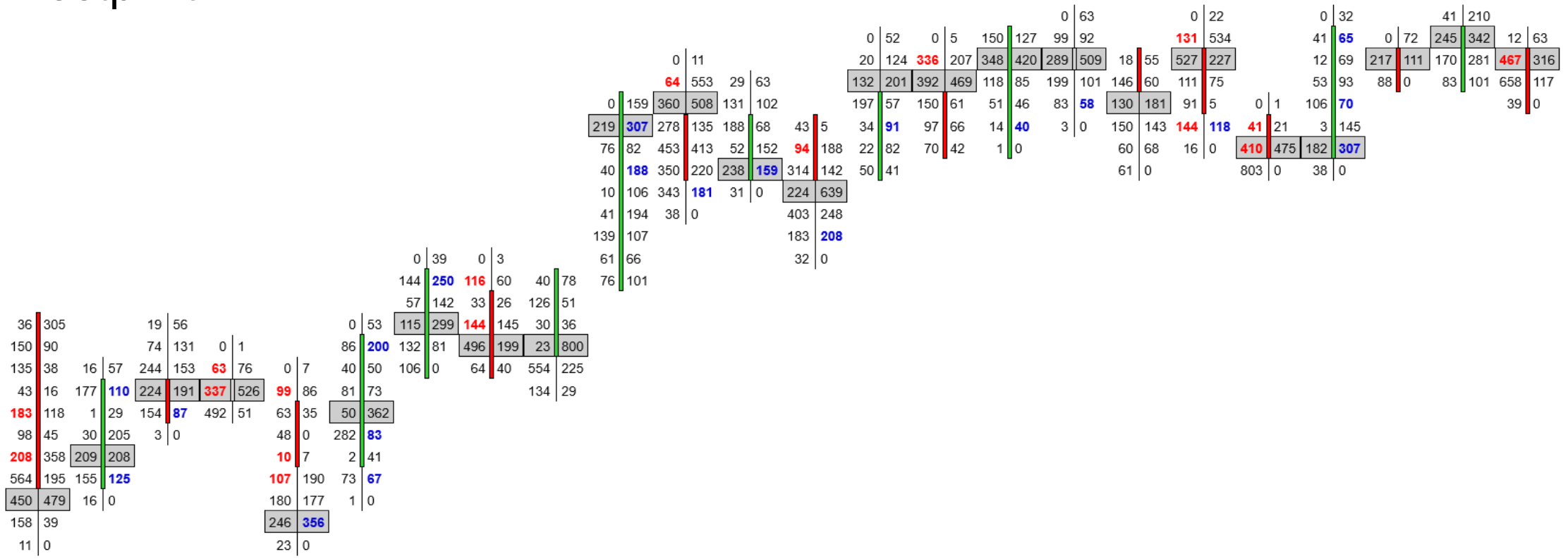
CFTC Rules 4.41 - Hypothetical or Simulated performance results have certain limitations, unlike an actual performance record, simulated results do not represent actual trading. Also, since the trades have not been executed, the results may have under-or-over compensated for the impact, if any, of certain market factors, such as lack of liquidity. Simulated trading programs in general are also subject to the fact that they are designed with the benefit of hindsight. No representation is being made that any account will or is likely to achieve profit or losses similar to those shown.

Hidden trades and locations are a key aspect of understanding institutional money flow. While retail traders focus on price action visible on their screens, institutions operate beneath the surface, accumulating or distributing positions. It is important to realize that the information displayed on the screen represents only a fraction of the market activity. By analyzing order flow and identifying things such as value areas, retail traders can identify institutional biases and locate advantageous trade opportunities outside of the visible price action.

Order Flows Trader (ES 09-23 (1 Minute))
7/12/2023 12:07:00 - 7/12/2023 12:30:00

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# Sometimes it's hard to know what happening in the footprint if all you have is a footprint.



| | | | | | | | | | | | | | | | | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Delta | 130 | -100 | -238 | 82 | 314 | 257 | -380 | 312 | 648 | 135 | -125 | 137 | 193 | -195 | 36 | 150 | -58 | -39 | -757 | 346 | -122 | 395 | -680 |
| Max. Delta | 186 | 75 | 33 | 82 | 317 | 315 | 30 | 522 | 663 | 331 | 54 | 240 | 275 | 112 | 194 | 250 | 2 | 374 | 53 | 388 | 26 | 537 | 0 |
| Min. Delta | 0 | -101 | -309 | -207 | -100 | -119 | -410 | -138 | 0 | -382 | -128 | -524 | -20 | -237 | -4 | -28 | -155 | -42 | -779 | -14 | -122 | -14 | -680 |
| Cum. Delta | 1905 | 1805 | 1567 | 1649 | 1963 | 2220 | 1840 | 2152 | 2800 | 2935 | 2810 | 2947 | 3140 | 2945 | 2981 | 3131 | 3073 | 3034 | 2277 | 2623 | 2501 | 2896 | 2216 |
| Delta / Volume | 9.72% | -7.49% | -15.39% | 5.02% | 20.34% | 18.83% | -28.66% | 14.68% | 32.86% | 3.46% | -10.31% | 5.03% | 17.50% | -10.29% | 2.57% | 10.03% | -5.41% | -1.95% | -43.23% | 28.45% | -25.00% | 26.82% | -40.67% |
| Volume | 1338 | 1336 | 1546 | 1634 | 1544 | 1365 | 1326 | 2126 | 1972 | 3907 | 1213 | 2723 | 1103 | 1895 | 1400 | 1496 | 1072 | 2001 | 1751 | 1216 | 488 | 1473 | 1672 |

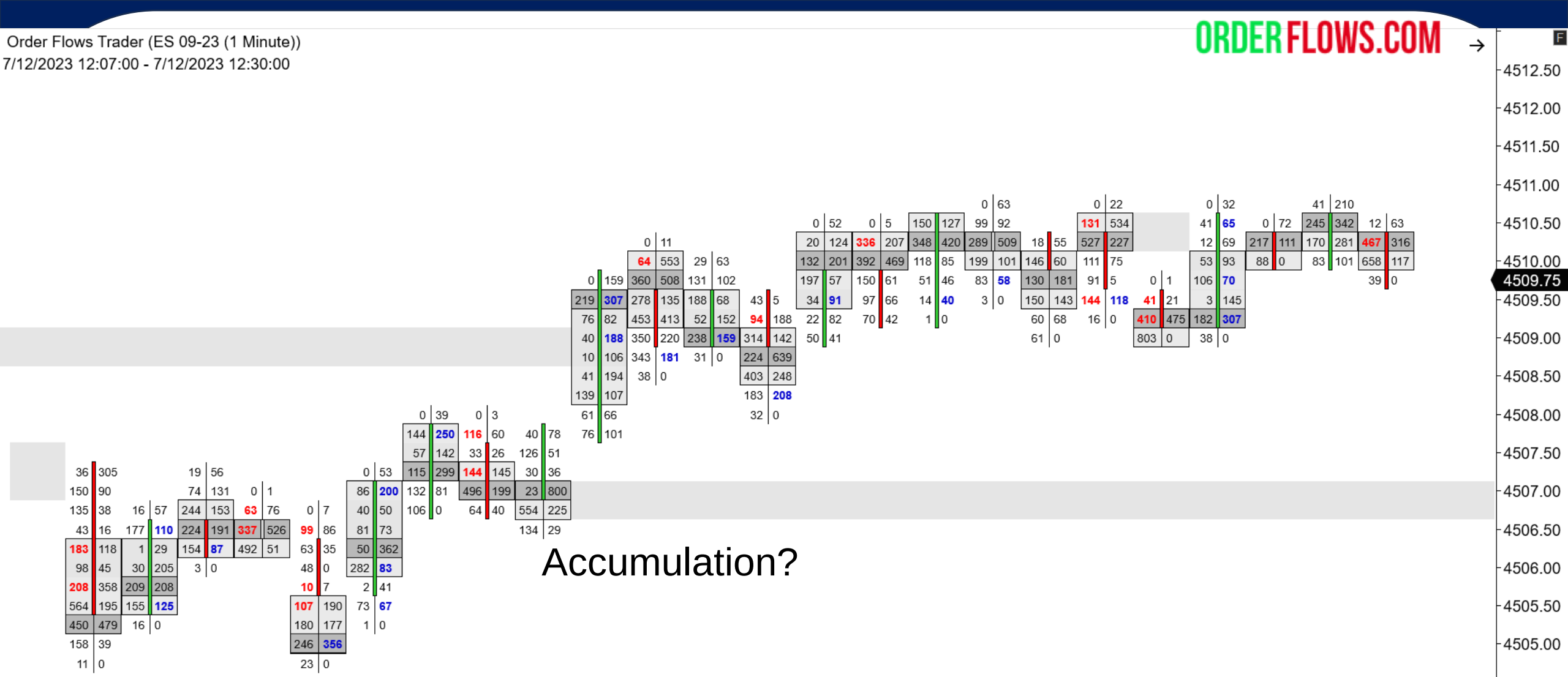
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Order Flows Trader (ES 09-23 (1 Minute))
7/12/2023 12:07:00 - 7/12/2023 12:30:00

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|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Delta | 130 | -100 | -238 | 82 | 314 | 257 | -380 | 312 | 648 | 135 | -125 | 137 | 193 | -195 | 36 | 150 | -58 | -39 | -757 | 346 | -122 | 395 | -680 |
| Max. Delta | 186 | 75 | 33 | 82 | 317 | 315 | 30 | 522 | 663 | 331 | 54 | 240 | 275 | 112 | 194 | 250 | 2 | 374 | 53 | 388 | 26 | 537 | 0 |
| Min. Delta | 0 | -101 | -309 | -207 | -100 | -119 | -410 | -138 | 0 | -382 | -128 | -524 | -20 | -237 | -4 | -28 | -155 | -42 | -779 | -14 | -122 | -14 | -680 |
| Cum. Delta | 1905 | 1805 | 1567 | 1649 | 1963 | 2220 | 1840 | 2152 | 2800 | 2935 | 2810 | 2947 | 3140 | 2945 | 2981 | 3131 | 3073 | 3034 | 2277 | 2623 | 2501 | 2896 | 2216 |
| Delta / Volume | 9.72% | -7.49% | -15.39% | 5.02% | 20.34% | 18.83% | -28.66% | 14.68% | 32.86% | 3.46% | -10.31% | 5.03% | 17.50% | -10.29% | 2.57% | 10.03% | -5.41% | -1.95% | -43.23% | 28.45% | -25.00% | 26.82% | -40.67% |
| Volume | 1338 | 1336 | 1546 | 1634 | 1544 | 1365 | 1326 | 2126 | 1972 | 3907 | 1213 | 2723 | 1103 | 1895 | 1400 | 1496 | 1072 | 2001 | 1751 | 1216 | 488 | 1473 | 1672 |

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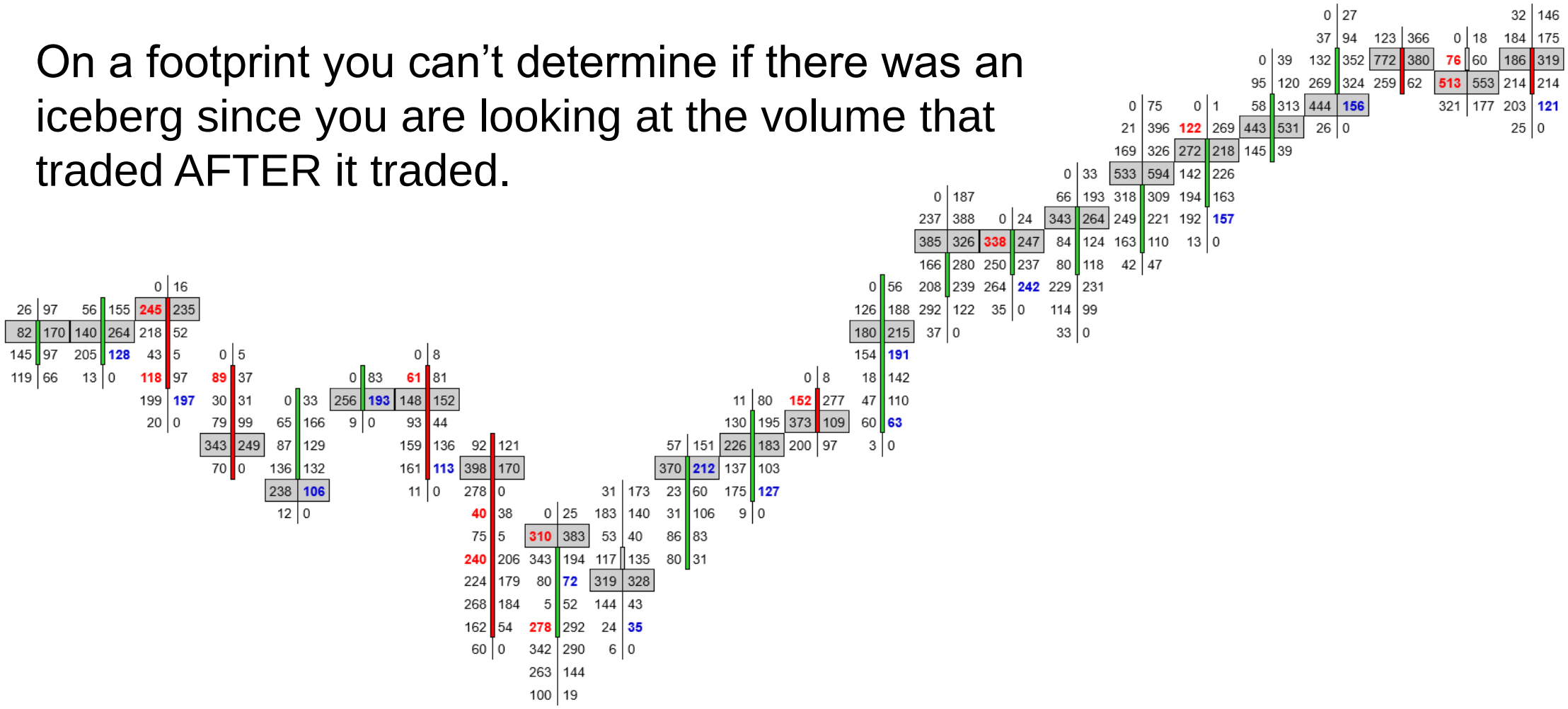
Hidden orders can camouflage the trading flows of significant players in the market and manipulate perceptions around true liquidity by other participants. Understanding their influence improves reading real supply/demand.

Iceberg orders enable large traders to disguise their total interest and impact on order flow. Being aware of their ability to obscure market participation and depth helps build a more accurate picture.

Order Flows Trader (ES 09-23 (1 Minute))
7/12/2023 12:55:00 - 7/12/2023 13:18:00

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On a footprint you can't determine if there was an iceberg since you are looking at the volume that traded AFTER it traded.



| | | | | | | | | | | | | | | | | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Delta | 133 | -241 | -190 | 28 | 11 | -99 | -880 | -250 | 17 | -4 | 0 | -234 | 377 | 217 | -137 | 113 | 583 | 99 | 301 | 45 | -346 | -102 | 131 |
| Max. Delta | 178 | 87 | 0 | 40 | 43 | 45 | 29 | 65 | 124 | 184 | 56 | 83 | 430 | 424 | 68 | 244 | 889 | 258 | 332 | 173 | 90 | 53 | 273 |
| Min. Delta | -1 | -309 | -205 | -170 | -80 | -130 | -908 | -329 | -134 | -88 | -188 | -251 | 0 | -138 | -215 | -117 | -34 | -100 | -2 | -71 | -346 | -284 | -1 |
| Cum. Delta | 6335 | 6094 | 5904 | 5932 | 5943 | 5844 | 4964 | 4714 | 4731 | 4727 | 4727 | 4493 | 4870 | 5087 | 4950 | 5063 | 5646 | 5745 | 6046 | 6091 | 5745 | 5643 | 5774 |
| Delta / Volume | 13.84% | -16.68% | -18.41% | 2.54% | 2.03% | -8.48% | -31.50% | -7.83% | 0.96% | -0.31% | 0.00% | -19.24% | 24.28% | 7.57% | -8.37% | 5.62% | 16.32% | 5.03% | 16.88% | 2.42% | -17.64% | -5.94% | 7.20% |
| Volume | 961 | 1445 | 1032 | 1104 | 541 | 1167 | 2794 | 3192 | 1771 | 1290 | 1376 | 1216 | 1553 | 2867 | 1637 | 2011 | 3573 | 1969 | 1783 | 1861 | 1962 | 1718 | 1819 |

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12:55 13:00 13:05 13:10 13:15

From my own experience and talking to traders I know at banks, pretty much any order over 100 contracts is iceberged in the ES. In lesser markets anything over 25 contracts.

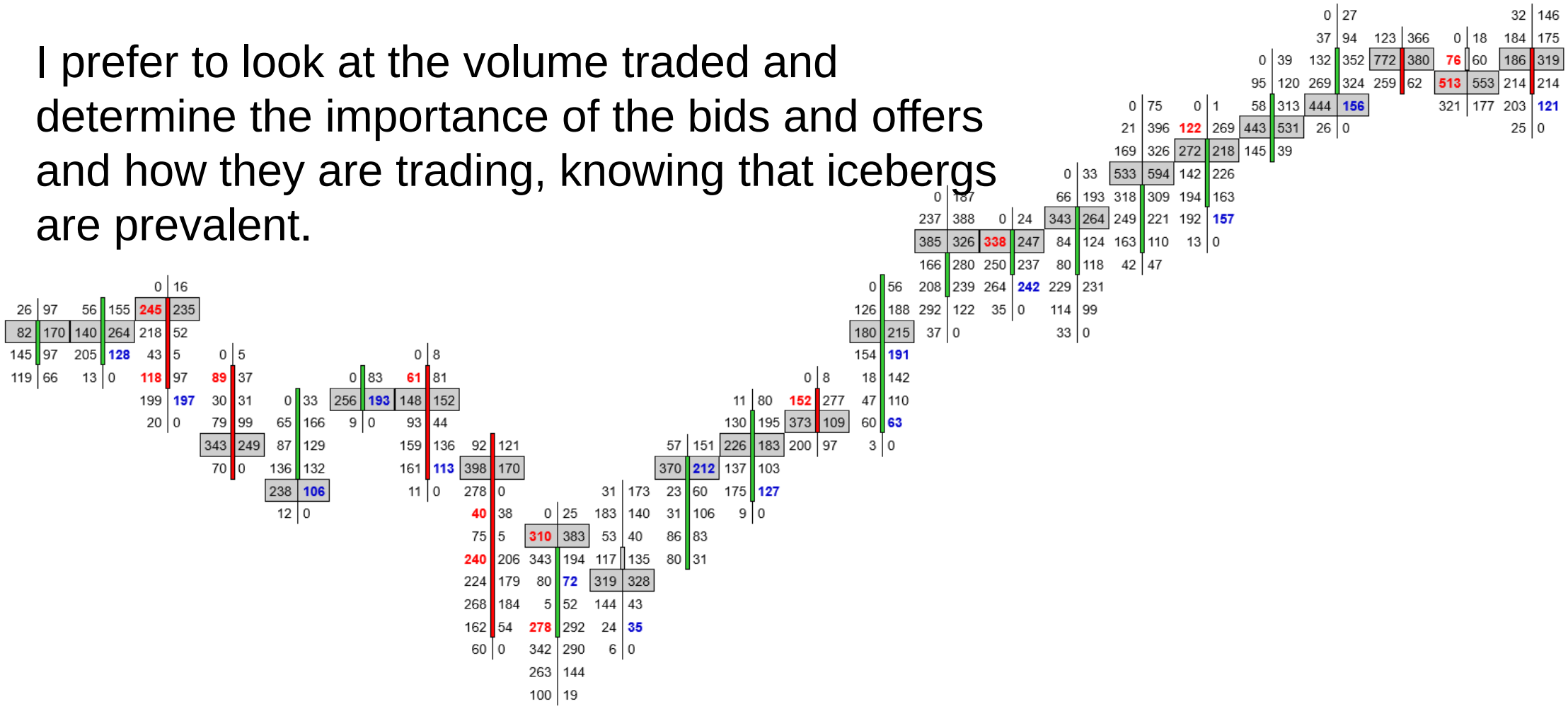
Traders who watch only price may perceive normal two-sided order flow unaware of the hidden iceberg orders skewing the actual supply and demand imbalance.

When orders are hidden, normal order flow and liquidity may appear balanced, even while hidden orders create an imbalance in overall supply or demand.

Order Flows Trader (ES 09-23 (1 Minute))
7/12/2023 12:55:00 - 7/12/2023 13:18:00

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I prefer to look at the volume traded and determine the importance of the bids and offers and how they are trading, knowing that icebergs are prevalent.



| | | | | | | | | | | | | | | | | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Delta | 133 | -241 | -190 | 28 | 11 | -99 | -880 | -250 | 17 | -4 | 0 | -234 | 377 | 217 | -137 | 113 | 583 | 99 | 301 | 45 | -346 | -102 | 131 |
| Max. Delta | 178 | 87 | 0 | 40 | 43 | 45 | 29 | 65 | 124 | 184 | 56 | 83 | 430 | 424 | 68 | 244 | 889 | 258 | 332 | 173 | 90 | 53 | 273 |
| Min. Delta | -1 | -309 | -205 | -170 | -80 | -130 | -908 | -329 | -134 | -88 | -188 | -251 | 0 | -138 | -215 | -117 | -34 | -100 | -2 | -71 | -346 | -284 | -1 |
| Cum. Delta | 6335 | 6094 | 5904 | 5932 | 5943 | 5844 | 4964 | 4714 | 4731 | 4727 | 4727 | 4493 | 4870 | 5087 | 4950 | 5063 | 5646 | 5745 | 6046 | 6091 | 5745 | 5643 | 5774 |
| Delta / Volume | 13.84% | -16.68% | -18.41% | 2.54% | 2.03% | -8.48% | -31.50% | -7.83% | 0.96% | -0.31% | 0.00% | -19.24% | 24.28% | 7.57% | -8.37% | 5.62% | 16.32% | 5.03% | 16.88% | 2.42% | -17.64% | -5.94% | 7.20% |
| Volume | 961 | 1445 | 1032 | 1104 | 541 | 1167 | 2794 | 3192 | 1771 | 1290 | 1376 | 1216 | 1553 | 2867 | 1637 | 2011 | 3573 | 1969 | 1783 | 1861 | 1962 | 1718 | 1819 |

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12:55 13:00 13:05 13:10 13:15

Accepting that hidden liquidity exists allows traders to better contextualize visible market flows and depth. What is seen on the DOM and price ladder screens may not tell the whole story.

Taking into account hidden liquidity leads to healthier skepticism about current prices rather than taking order flow at face value.

Order Flows Trader (ES 09-23 (1 Minute))
7/11/2023 12:39:00 - 7/11/2023 13:02:00

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# For example, hidden buying interest soaking up sell orders can lead to a short-squeeze as offer liquidity is quickly removed. Ever hear of trapped traders?



| | | | | | | | | | | | | | | | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Delta | -81 | -97 | -25 | 38 | -67 | -114 | -148 | -500 | -211 | 163 | 129 | -9 | -87 | 3 | -5 | -97 | 1 | 214 | 808 | -236 | 80 | 203 | -249 |
| Max. Delta | 46 | 118 | 2 | 128 | 21 | 0 | 0 | 0 | 0 | 173 | 176 | 65 | 2 | 80 | 92 | 48 | 1 | 216 | 928 | 44 | 141 | 380 | 9 |
| Min. Delta | -85 | -98 | -239 | -1 | -109 | -169 | -285 | -526 | -509 | -106 | -27 | -99 | -100 | -5 | -24 | -117 | -161 | -55 | -17 | -237 | -4 | -55 | -460 |
| Cum. Delta | -6225 | -6322 | -6347 | -6309 | -6376 | -6490 | -6638 | -7138 | -7349 | -7186 | -7057 | -7066 | -7153 | -7150 | -7155 | -7252 | -7251 | -7037 | -6229 | -6465 | -6385 | -6182 | -6431 |
| Delta / Volume | -10.90% | -11.29% | -2.33% | 4.92% | -11.90% | -12.36% | -11.67% | -36.39% | -8.32% | 10.22% | 7.26% | -0.56% | -9.61% | 0.29% | -0.76% | -11.93% | 0.07% | 25.06% | 34.47% | -14.97% | 7.95% | 9.32% | -10.74% |
| Volume | 743 | 859 | 1075 | 772 | 563 | 922 | 1268 | 1374 | 2535 | 1595 | 1777 | 1621 | 905 | 1017 | 655 | 813 | 1337 | 854 | 2344 | 1576 | 1006 | 2177 | 2319 |

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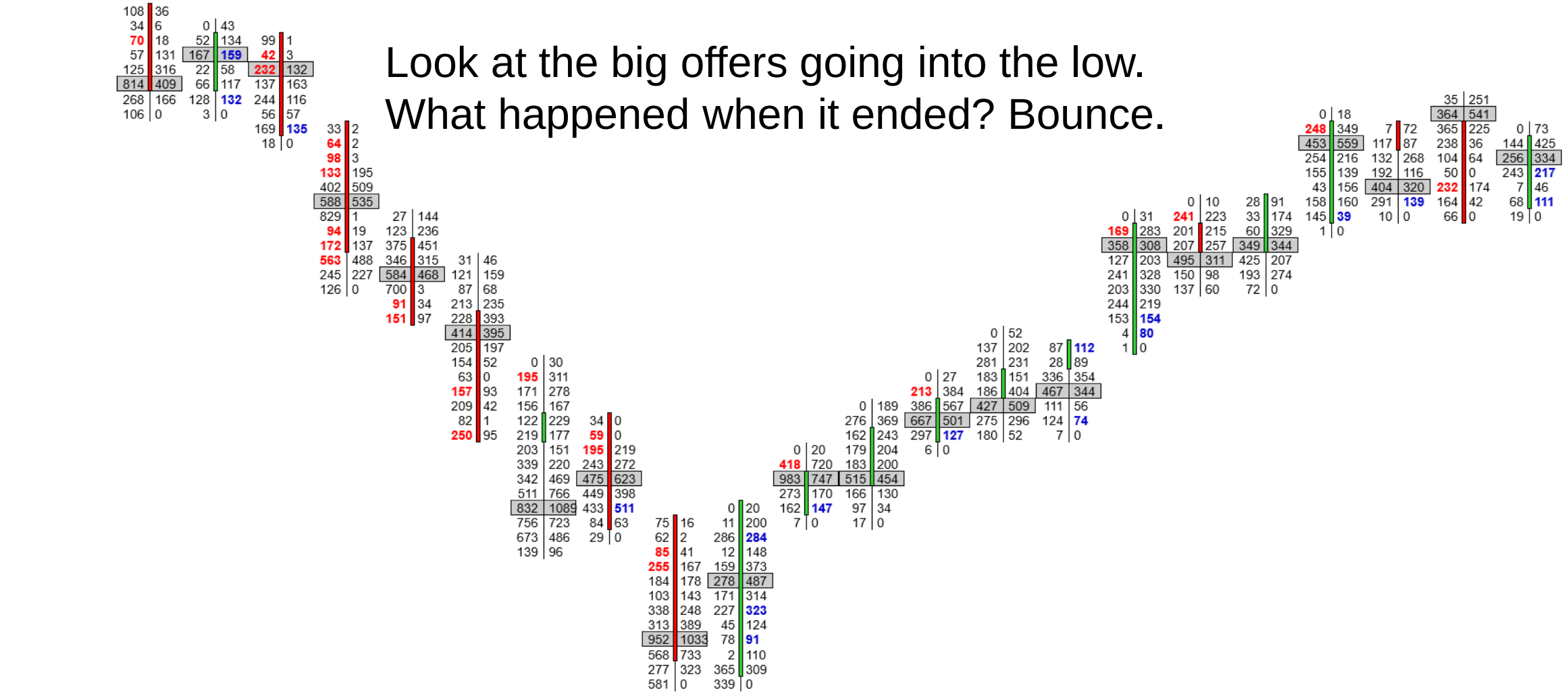
12:40 12:45 12:50 12:55 13:00

Sudden order imbalances or volatility can occur when hidden orders stop being renewed or reach completion. Their impact is finally fully felt on price.

Order Flows Trader (ES 09-23 (1 Minute))
7/12/2023 14:18:00 - 7/12/2023 14:39:00

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Look at the big offers going into the low.
What happened when it ended? Bounce.



| | | | | | | | | | | | | | | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Delta | -500 | 205 | -390 | -1229 | -649 | -438 | 534 | 85 | -520 | 810 | -39 | 228 | 37 | 228 | -131 | 436 | -257 | 259 | 179 | -151 | -285 | 469 |
| Max. Delta | 0 | 206 | 0 | 0 | 166 | 166 | 659 | 135 | 0 | 831 | 253 | 316 | 190 | 445 | 3 | 604 | 106 | 282 | 347 | 59 | 321 | 484 |
| Min. Delta | -581 | -30 | -453 | -1280 | -707 | -476 | -540 | -394 | -970 | -439 | -74 | -160 | -140 | -26 | -222 | -1 | -489 | -296 | -121 | -454 | -285 | 0 |
| Cum. Delta | 47 | 252 | -138 | -1367 | -2016 | -2454 | -1920 | -1835 | -2355 | -1545 | -1584 | -1356 | -1319 | -1091 | -1222 | -786 | -1043 | -784 | -605 | -756 | -1041 | -572 |
| Delta / Volume | -18.77% | 18.96% | -24.31% | -22.49% | -15.66% | -10.98% | 5.42% | 2.08% | -7.36% | 17.03% | -1.07% | 6.67% | 1.17% | 6.39% | -5.98% | 12.69% | -9.87% | 10.04% | 5.79% | -7.01% | -9.66% | 24.14% |
| Volume | 2664 | 1081 | 1604 | 5465 | 4145 | 3990 | 9850 | 4087 | 7066 | 4756 | 3647 | 3418 | 3175 | 3566 | 2189 | 3436 | 2605 | 2579 | 3093 | 2155 | 2951 | 1943 |

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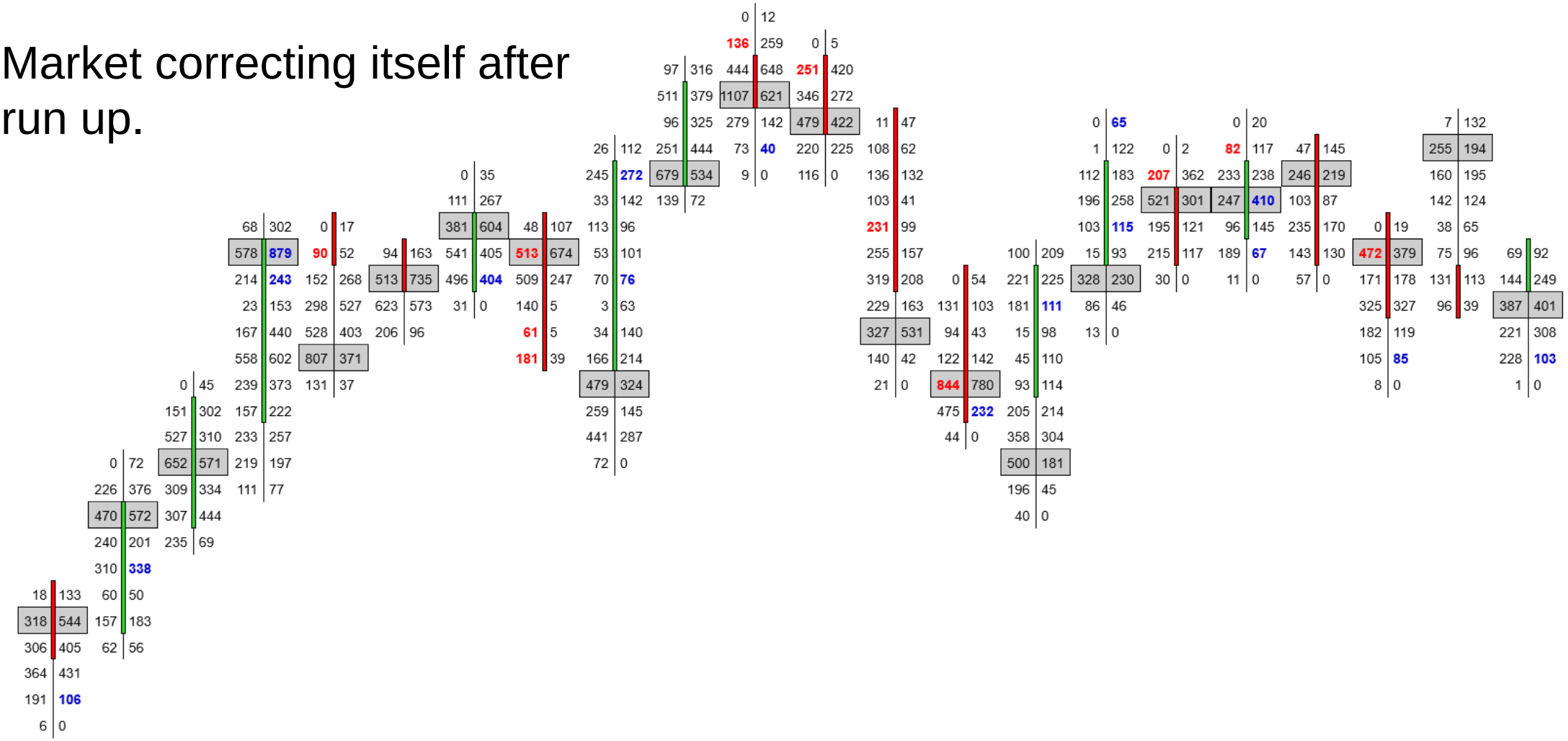
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Order Flows Trader (ES 09-23 (1 Minute))
7/17/2023 08:59:00 - 7/17/2023 09:20:00

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# Market correcting itself after run up.




| | | | | | | | | | | | | | | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Delta | 416 | 323 | -106 | 1178 | -331 | 131 | 155 | -375 | -22 | 297 | -326 | -68 | -398 | -356 | -343 | 258 | -265 | 139 | -80 | -156 | 54 | 103 |
| Max. Delta | 417 | 432 | 193 | 1208 | 60 | 161 | 246 | 64 | 18 | 549 | 142 | 84 | 25 | 43 | 78 | 432 | 0 | 231 | 83 | 21 | 272 | 155 |
| Min. Delta | -64 | -47 | -152 | -150 | -579 | -162 | -90 | -375 | -505 | -40 | -329 | -138 | -785 | -365 | -529 | -163 | -274 | -65 | -164 | -326 | -18 | -103 |
| Cum. Delta | -1447 | -1124 | -1230 | -52 | -383 | -252 | -97 | -472 | -494 | -197 | -523 | -591 | -989 | -1345 | -1688 | -1430 | -1695 | -1556 | -1636 | -1792 | -1738 | -1635 |
| Delta / Volume | 14.74% | 9.58% | -2.49% | 18.66% | -8.99% | 4.36% | 4.73% | -14.83% | -0.55% | 7.73% | -8.65% | -2.47% | -11.84% | -11.62% | -9.62% | 13.12% | -12.80% | 7.49% | -5.06% | -6.58% | 2.90% | 4.68% |
| Volume | 2822 | 3373 | 4256 | 6312 | 3681 | 3003 | 3275 | 2529 | 3966 | 3843 | 3770 | 2756 | 3362 | 3064 | 3565 | 1966 | 2071 | 1855 | 1582 | 2370 | 1862 | 2203 |

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09:00 09:05 09:10 09:15 09:20

Consolidation and absorption are often confused, but they have different outcomes; consolidation refers to a sideways market pattern, while absorption refers to the type of activity in the market.

Consolidation and absorption are similar, but the difference lies in the volume of transactions, with absorption indicating a release of pressure and a potential rise in price.

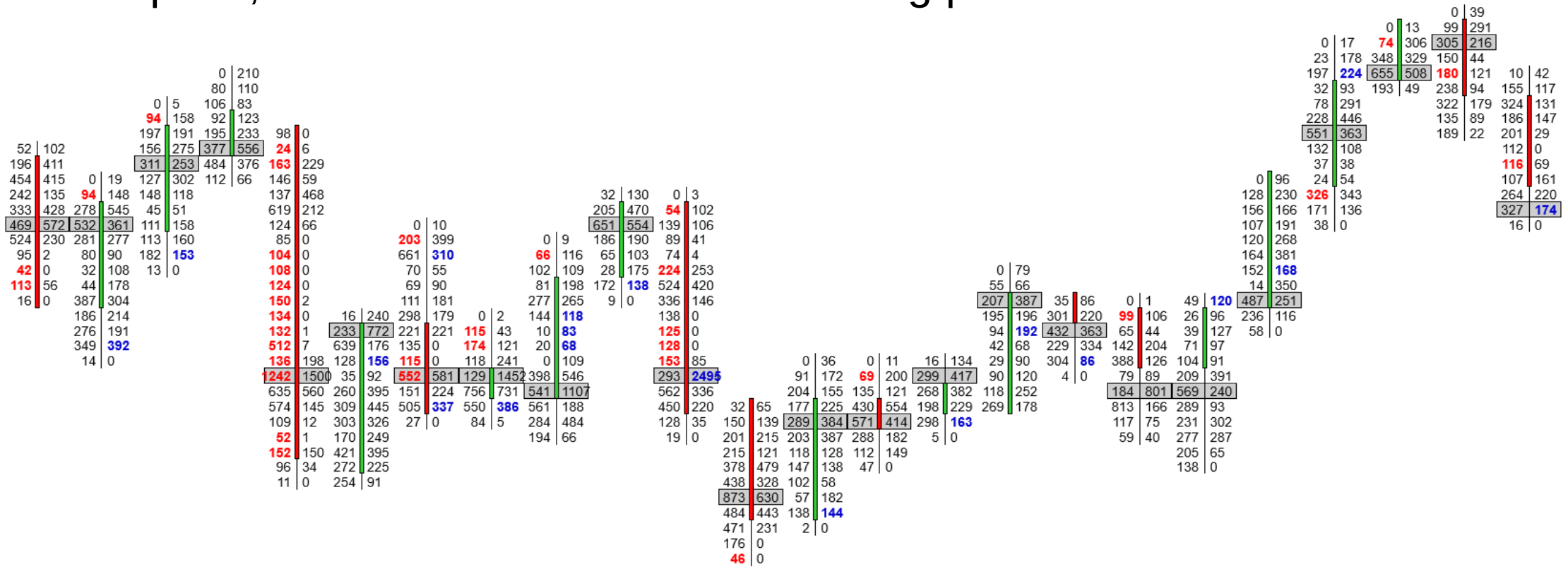
Absorption is more likely to continue than consolidation, and professional traders look for high relative volume, price point volatility, and initiative conclusion to determine whether it is absorption or consolidation.

Consolidation and absorption in trading are distinguished by their response to high volume, price volatility, and the changing market dynamics.

Order Flows Trader (ES 09-23 (1 Minute))
7/12/2023 10:53:00 - 7/12/2023 11:16:00

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# Absorption, look at the amount of effort being put in.



| | | | | | | | | | | | | | | | | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Delta | 274 | 327 | 311 | -2017 | 522 | -531 | 1055 | 788 | 412 | 810 | -813 | 481 | -21 | 241 | 529 | -216 | -294 | -298 | 595 | 454 | -65 | -523 | -728 |
| Max. Delta | 483 | 443 | 383 | 0 | 683 | 417 | 1294 | 864 | 428 | 1050 | 30 | 532 | 67 | 412 | 552 | 0 | 31 | 97 | 663 | 505 | 129 | 65 | 68 |
| Min. Delta | -156 | -131 | -40 | -2688 | -221 | -1021 | -183 | -210 | -20 | -1272 | -1054 | -5 | -142 | 0 | -65 | -416 | -490 | -837 | -210 | -116 | -154 | -549 | -855 |
| Cum. Delta | -2842 | -2515 | -2204 | -4221 | -3699 | -4230 | -3175 | -2387 | -1975 | -1165 | -1978 | -1497 | -1518 | -1277 | -748 | -964 | -1258 | -1556 | -961 | -507 | -572 | -1095 | -1823 |
| Delta / Volume | 5.09% | 9.85% | 9.71% | -21.65% | 7.91% | -9.31% | 21.50% | 12.83% | 13.26% | 10.54% | -13.30% | 13.60% | -0.64% | 10.00% | 19.40% | -9.02% | -8.17% | -7.24% | 15.50% | 11.00% | -2.63% | -19.28% | -25.03% |
| Volume | 5380 | 3321 | 3203 | 9317 | 6602 | 5705 | 4907 | 6144 | 3108 | 7682 | 6115 | 3537 | 3283 | 2409 | 2727 | 2394 | 3598 | 4116 | 3839 | 4128 | 2475 | 2713 | 2908 |

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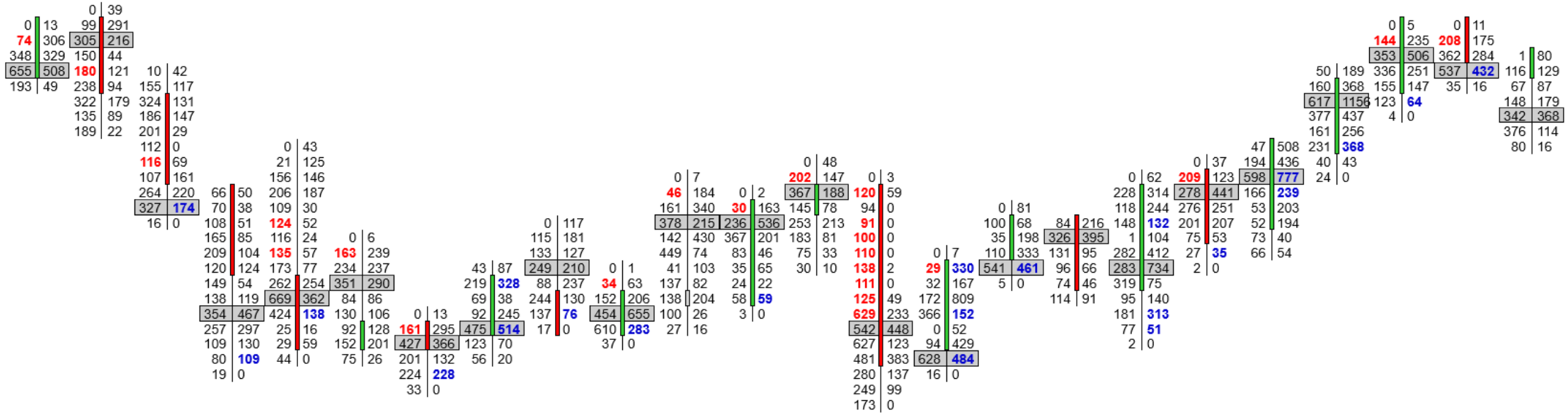
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Order Flows Trader (ES 09-23 (1 Minute))
7/12/2023 11:14:00 - 7/12/2023 11:37:00

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# Consolidation



| | | | | | | | | | | | | | | | | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Delta | -523 | -728 | -216 | -923 | 38 | -12 | 225 | 95 | -79 | 62 | 258 | -457 | -2334 | 1093 | 350 | 84 | 847 | 79 | 1202 | 1157 | 93 | -224 | -157 |
| Max. Delta | 65 | 68 | 0 | 304 | 364 | 90 | 249 | 403 | 19 | 318 | 318 | 53 | 24 | 1098 | 391 | 155 | 1031 | 155 | 1271 | 1226 | 229 | 15 | 0 |
| Min. Delta | -549 | -855 | -775 | -973 | -68 | -144 | -323 | -1 | -325 | -191 | -11 | -458 | -2507 | -6 | -146 | -79 | -27 | -118 | -27 | -25 | -54 | -296 | -378 |
| Cum. Delta | -1095 | -1823 | -2039 | -2962 | -2924 | -2936 | -2711 | -2616 | -2695 | -2633 | -2375 | -2832 | -5166 | -4073 | -3723 | -3639 | -2792 | -2713 | -1511 | -354 | -261 | -485 | -642 |
| Delta / Volume | -19.28% | -25.03% | -6.22% | -22.72% | 1.46% | -0.58% | 9.46% | 4.61% | -3.17% | 1.88% | 13.37% | -22.26% | -43.17% | 29.02% | 18.12% | 4.84% | 19.63% | 3.57% | 32.49% | 25.84% | 4.00% | -10.87% | -7.47% |
| Volume | 2713 | 2908 | 3472 | 4063 | 2600 | 2080 | 2379 | 2061 | 2495 | 3300 | 1930 | 2053 | 5406 | 3767 | 1932 | 1734 | 4315 | 2215 | 3700 | 4477 | 2323 | 2060 | 2103 |

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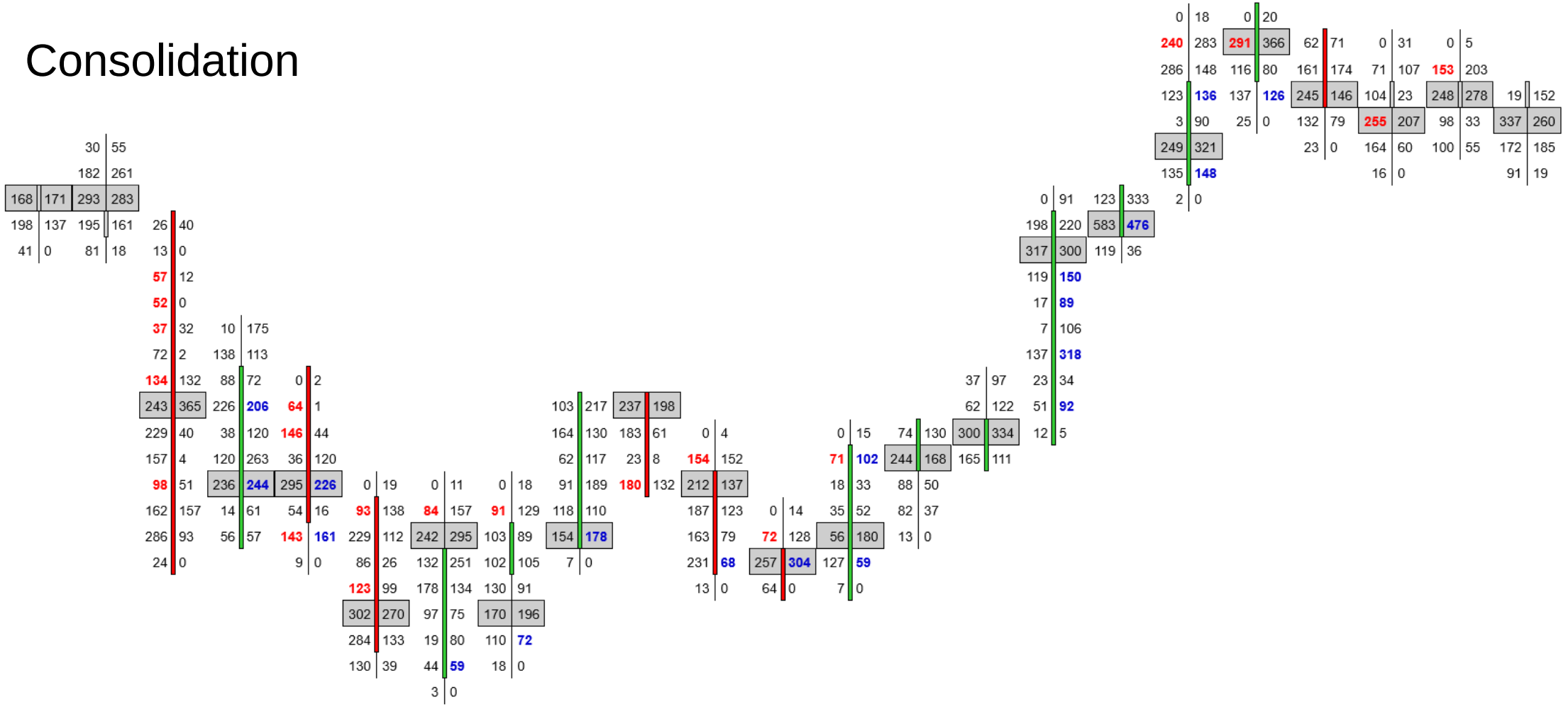
11:15 11:20 11:25 11:30 11:35

Consolidation refers to a sideways movement in the market, often resembling a support and resistance zone. However, it is important to note that this term is not interchangeable with support and resistance. On the other hand, absorption involves a specific type of activity and interaction among participants. It occurs when the market reaches a price point and experiences a substantial volume of transactions. Absorption can be characterized by buyers lifting offers and encountering large orders, resulting in high-volume, high-velocity trading. Conversely, consolidation appears similar to absorption but involves lower volume transactions.

Order Flows Trader (ES 09-23 (1 Minute))
7/10/2023 13:00:00 - 7/10/2023 13:22:00

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# Consolidation



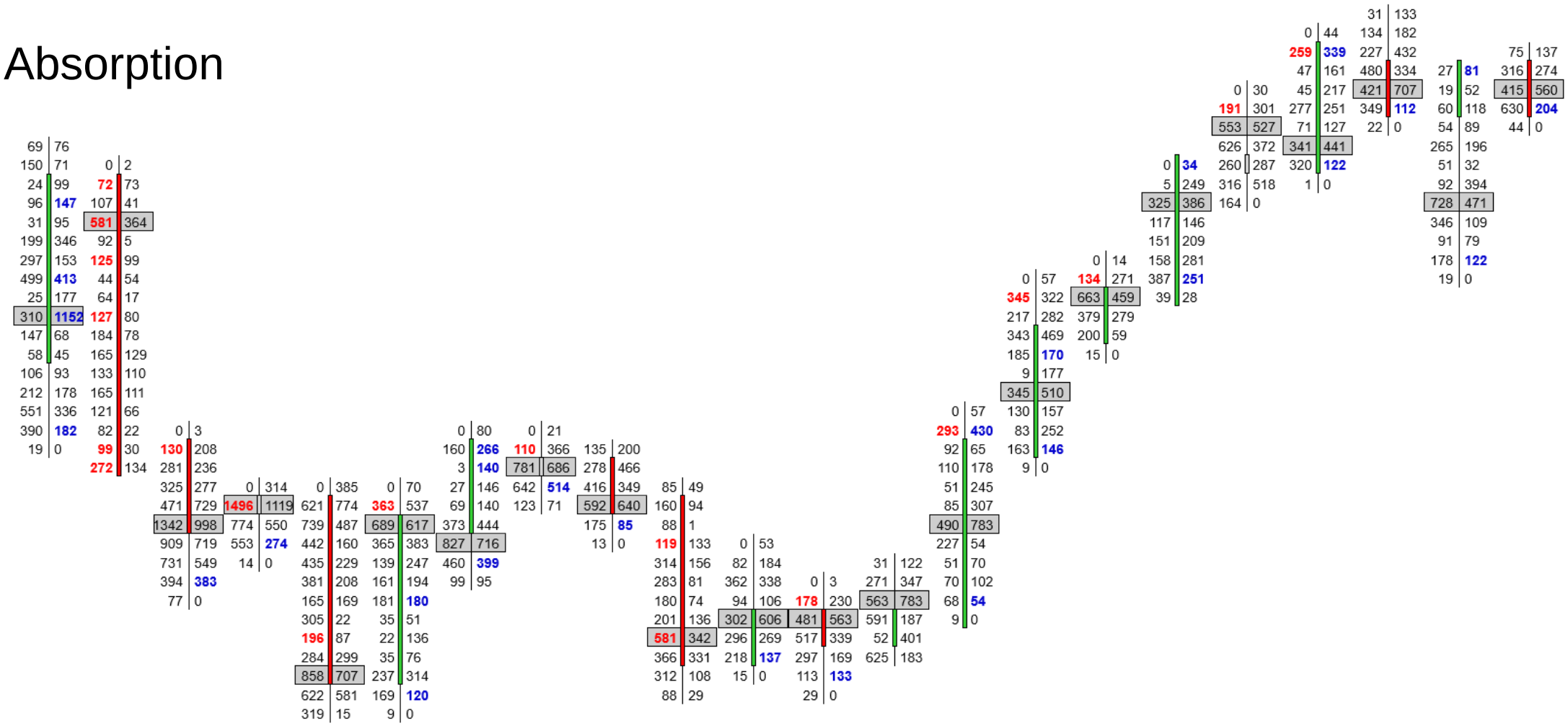

| | | | | | | | | | | | | | | | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Delta | 99 | -3 | -662 | 385 | -177 | -411 | 263 | -24 | 242 | -224 | -397 | 53 | 127 | -116 | 100 | 524 | 20 | 106 | 23 | -153 | -182 | -25 | -3 |
| Max. Delta | 0 | 125 | 14 | 497 | 2 | 22 | 343 | 63 | 393 | 37 | 13 | 112 | 142 | 10 | 186 | 577 | 64 | 395 | 108 | 11 | 48 | 127 | 58 |
| Min. Delta | 55 | -56 | -662 | 0 | -235 | -423 | -21 | -141 | -7 | -244 | -400 | -63 | -29 | -178 | -35 | -8 | -78 | 0 | -70 | -209 | -211 | -88 | -223 |
| Cum. Delta | 07 | 5604 | 4942 | 5327 | 5150 | 4739 | 5002 | 4978 | 5220 | 4996 | 4599 | 4652 | 4779 | 4663 | 4763 | 5287 | 5307 | 5413 | 5436 | 5283 | 5101 | 5076 | 5073 |
| Delta / Volume | % | -0.19% | -26.29% | 17.21% | -13.44% | -19.73% | 14.13% | -1.69% | 14.76% | -21.92% | -26.07% | 6.32% | 16.82% | -13.09% | 8.14% | 22.92% | 1.20% | 4.86% | 1.98% | -14.00% | -17.53% | -2.13% | -0.24% |
| Volume | 15 | 1559 | 2518 | 2237 | 1317 | 2083 | 1861 | 1424 | 1640 | 1022 | 1523 | 839 | 755 | 886 | 1228 | 2286 | 1670 | 2182 | 1161 | 1093 | 1038 | 1173 | 1235 |

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Order Flows Trader (ES 09-23 (1 Minute))
7/11/2023 09:04:00 - 7/11/2023 09:25:00

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# Absorption



| | | | | | | | | | | | | | | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Delta | 448 | -1018 | -558 | -580 | -1244 | 520 | 408 | 2 | 131 | -1243 | 324 | -178 | -110 | 799 | 713 | -309 | 402 | -75 | 341 | 236 | -187 | -305 |
| Max. Delta | 589 | 4 | 67 | 28 | 369 | 675 | 459 | 53 | 208 | 10 | 555 | 89 | 37 | 883 | 918 | 0 | 502 | 293 | 373 | 510 | 0 | 35 |
| Min. Delta | -612 | -1050 | -949 | -644 | -1437 | -150 | -236 | -167 | -176 | -1333 | -61 | -199 | -354 | -20 | -55 | -346 | -17 | -250 | -88 | -165 | -524 | -388 |
| Cum. Delta | -899 | -1917 | -2475 | -3055 | -4299 | -3779 | -3371 | -3369 | -3238 | -4481 | -4157 | -4335 | -4445 | -3646 | -2933 | -3242 | -2840 | -2915 | -2574 | -2338 | -2525 | -2830 |
| Delta / Volume | 6.57% | -26.46% | -6.37% | -11.39% | -13.11% | 9.76% | 9.18% | 0.06% | 3.91% | -28.83% | 10.58% | -5.83% | -2.65% | 20.53% | 16.31% | -12.49% | 14.53% | -1.81% | 11.13% | 6.62% | -5.09% | -11.49% |
| Volume | 6814 | 3848 | 8762 | 5094 | 9490 | 5330 | 4444 | 3314 | 3349 | 4311 | 3062 | 3052 | 4156 | 3891 | 4371 | 2473 | 2766 | 4145 | 3063 | 3564 | 3673 | 2655 |

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4451.50 4451.00 4450.50 **4450.00** 4449.50 4449.00 4448.50 4448.00 4447.50 4447.00 4446.50 4446.00 4445.50 4445.00 4444.50 4444.00 4443.50 4443.00 4442.50 4442.00 4441.50 4441.00 4440.50 4440.00

09:05 09:10 09:15 09:20 09:25

To distinguish between absorption and consolidation, traders should focus on the volume of transactions within a narrow price range. The following factors can help differentiate the two:

Volume: Absorption involves sustained high-volume trading within a tight range, indicating significant market activity. Consolidation, on the other hand, exhibits lower volume transactions.

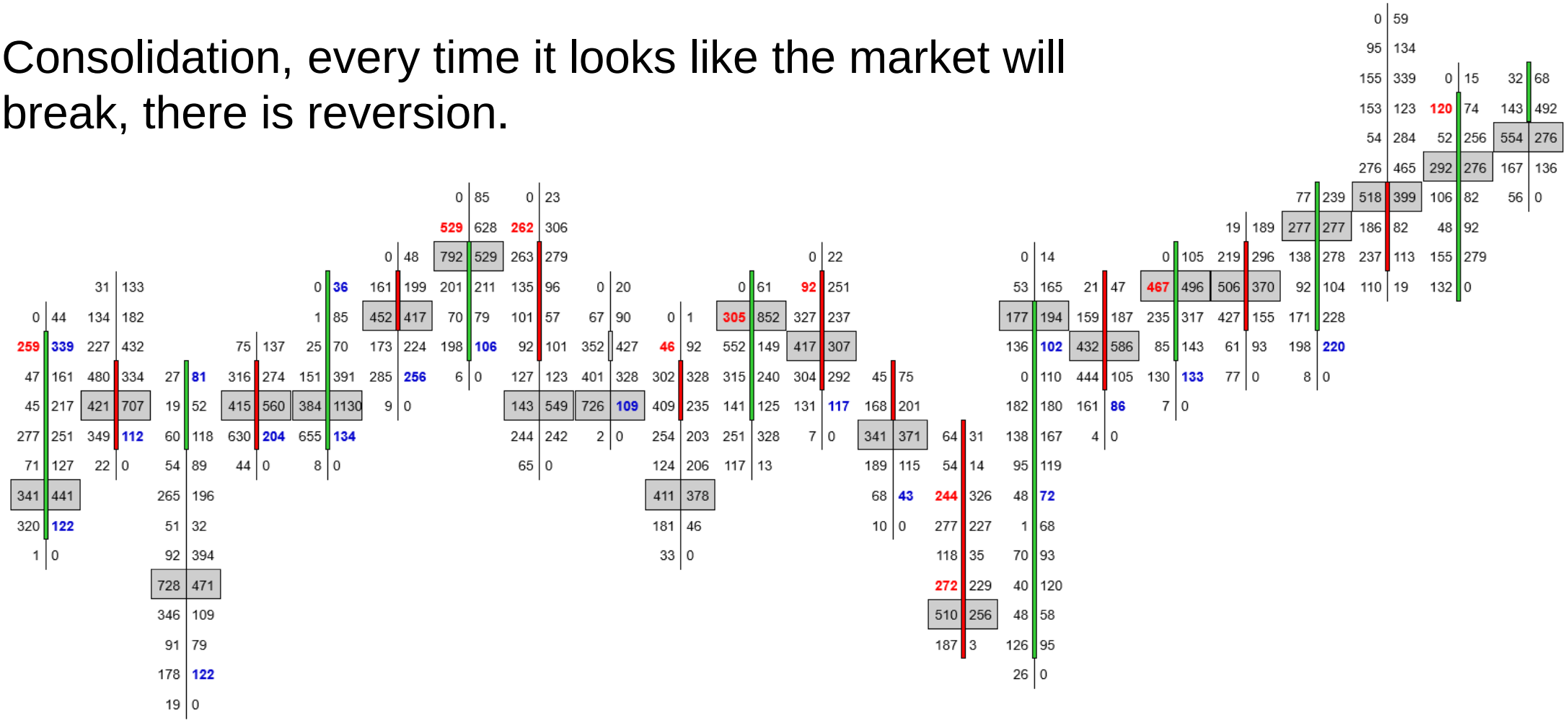
Price Range: In absorption, buyers lift offers and encounter resistance, leading to a limited price range. In consolidation, the market may extend the range but often returns to retest the other side.

Initiative and Continuation: Absorption is typically followed by a continuation of the price trend, as buyers have filled their orders. Consolidation, however, may result in limited continuation and a higher likelihood of price retracement.

Order Flows Trader (ES 09-23 (1 Minute))
7/11/2023 09:22:00 - 7/11/2023 09:43:00

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# Consolidation, every time it looks like the market will break, there is reversion.




| | | | | | | | | | | | | | | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Delta | 341 | 236 | -187 | -305 | 622 | 64 | -158 | 344 | -574 | -271 | 87 | -52 | -16 | -605 | 417 | -210 | 270 | -206 | 385 | 233 | 169 | 20 |
| Max. Delta | 373 | 510 | 0 | 35 | 729 | 103 | 156 | 345 | 71 | 11 | 472 | 87 | 23 | 0 | 492 | 105 | 298 | 123 | 453 | 823 | 244 | 290 |
| Min. Delta | -88 | -165 | -524 | -388 | -123 | -76 | -225 | -267 | -815 | -435 | -135 | -147 | -106 | -638 | -95 | -224 | -50 | -265 | -44 | 0 | -114 | -106 |
| Cum. Delta | -2574 | -2338 | -2525 | -2830 | -2208 | -2144 | -2302 | -1958 | -2532 | -2803 | -2716 | -2768 | -2784 | -3389 | -2972 | -3182 | -2912 | -3118 | -2733 | -2500 | -2331 | -2311 |
| Delta / Volume | 11.13% | 6.62% | -5.09% | -11.49% | 20.26% | 2.88% | -4.60% | 10.72% | -22.76% | -8.34% | 2.52% | -2.08% | -0.98% | -21.25% | 15.46% | -9.41% | 12.75% | -8.54% | 16.69% | 6.13% | 8.54% | 1.04% |
| Volume | 3063 | 3564 | 3673 | 2655 | 3070 | 2224 | 3434 | 3208 | 2522 | 3249 | 3449 | 2504 | 1626 | 2847 | 2697 | 2232 | 2118 | 2412 | 2307 | 3801 | 1979 | 1924 |

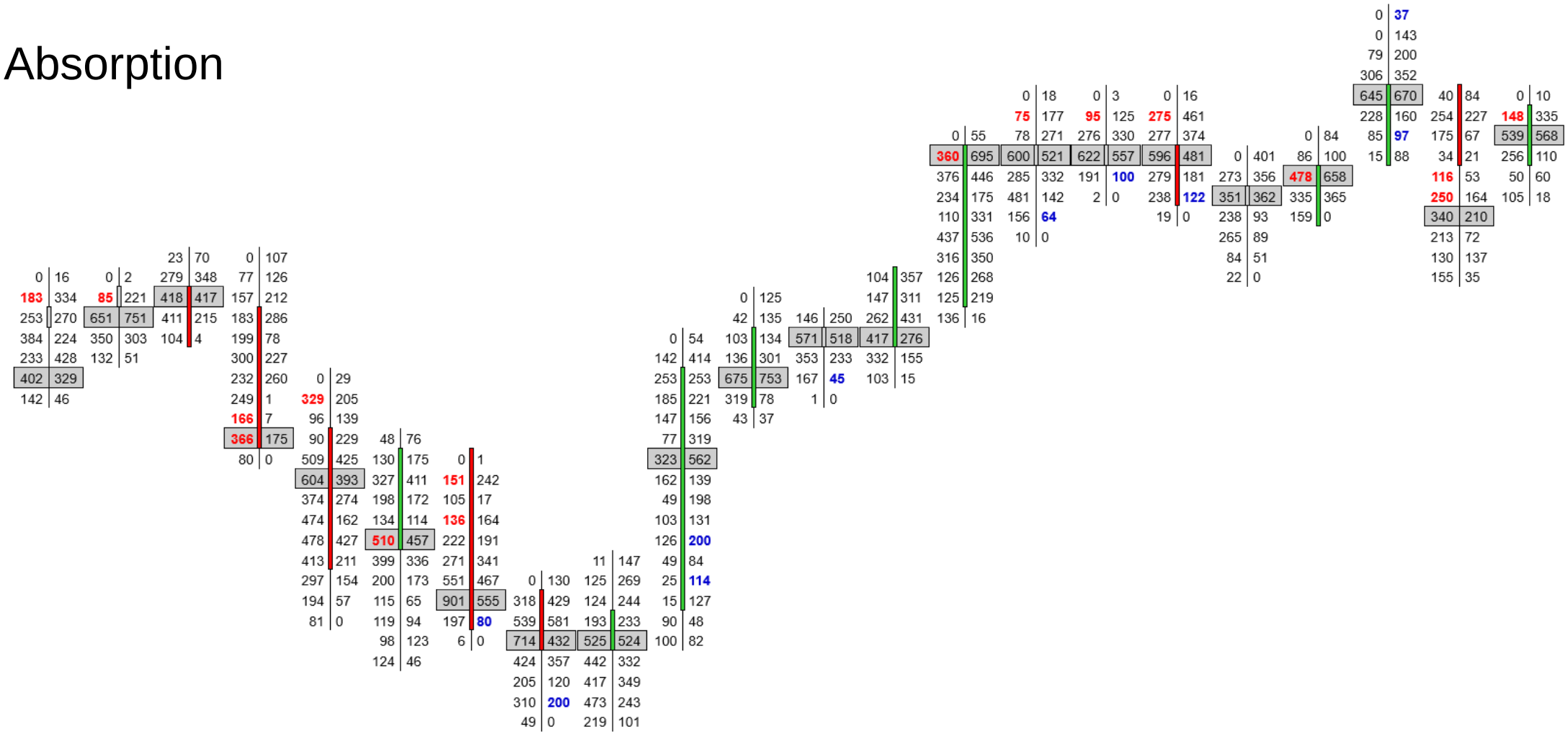
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09:25 09:30 09:35 09:40

Order Flows Trader (ES 09-23 (1 Minute))
7/14/2023 09:43:00 - 7/14/2023 10:04:00

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# Absorption



| | | | | | | | | | | | | | | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Delta | 50 | 110 | -181 | -530 | -1234 | -160 | -482 | -310 | -87 | 1256 | 245 | -192 | 180 | 871 | -160 | -71 | -49 | 119 | 149 | 389 | -637 | 3 |
| Max. Delta | 173 | 110 | 124 | 224 | 52 | 74 | 149 | 16 | 473 | 1525 | 275 | 47 | 229 | 1029 | 86 | 107 | 225 | 254 | 227 | 682 | 28 | 93 |
| Min. Delta | -206 | -123 | -182 | -545 | -1417 | -321 | -487 | -609 | -264 | -49 | -92 | -306 | -61 | -7 | -281 | -98 | -117 | -235 | -112 | 0 | -685 | -208 |
| Cum. Delta | -7045 | -6935 | -7116 | -7646 | -8880 | -9040 | -9522 | -9832 | -9919 | -8663 | -8418 | -8610 | -8430 | -7559 | -7719 | -7790 | -7839 | -7720 | -7571 | -7182 | -7819 | -7816 |
| Delta / Volume | 1.54% | 4.32% | -7.91% | -15.19% | -18.57% | -3.45% | -10.48% | -6.45% | -1.75% | 25.38% | 8.50% | -8.41% | 6.19% | 16.40% | -4.98% | -3.09% | -1.48% | 4.60% | 6.58% | 12.53% | -22.94% | 0.14% |
| Volume | 3244 | 2546 | 2289 | 3488 | 6644 | 4644 | 4598 | 4808 | 4971 | 4948 | 2881 | 2284 | 2910 | 5311 | 3210 | 2301 | 3319 | 2585 | 2265 | 3105 | 2777 | 2199 |

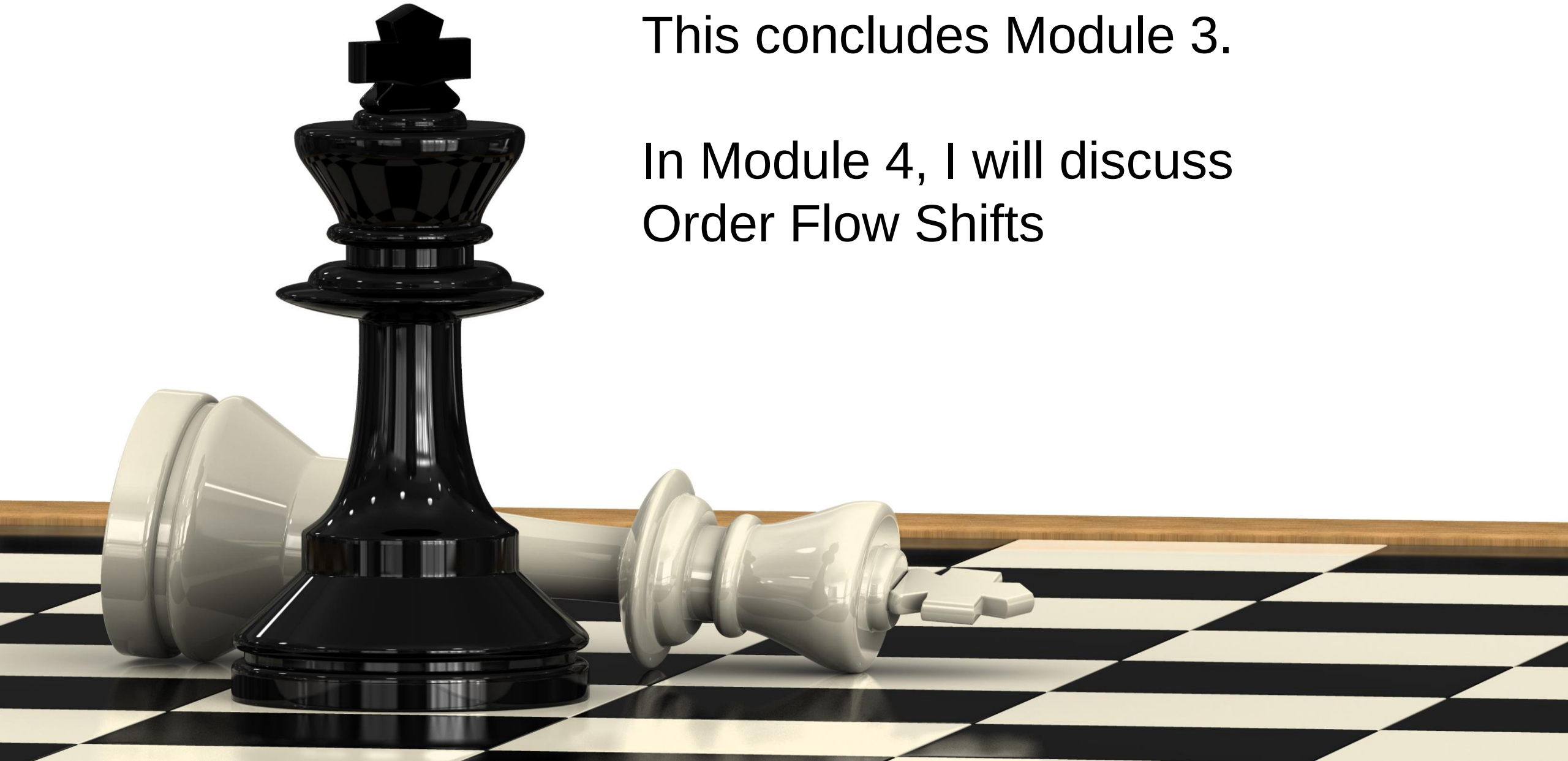
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4551.00 4550.50 4550.00 4549.50 4549.25 4549.00 4548.50 4548.00 4547.50 4547.00 4546.50 4546.00 4545.50 4545.00 4544.50 4544.00 4543.50 4543.00 4542.50 4542.00 4541.50 4541.00 4540.50 4540.00

09:45 09:50 09:55 10:00

By understanding these distinctions, traders can apply this knowledge to their charts and assess the potential value of each scenario.

The key factors to consider when identifying absorption are high relative volume, price point volatility, and initiative continuation. All three elements must be present for a valid absorption scenario. Failure to meet these criteria suggests a consolidation pattern instead.



This concludes Module 3.

In Module 4, I will discuss Order Flow Shifts